

Sentiment Divergence and Its Impact on Share Liquidity

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The paper on one slide.

- The author wants to study the link between “sentiment divergence” and liquidity, as measured using the bid-ask spread.
- Find empirical evidence that liquidity improves (e.g., bid-ask spread narrows) when sentiment divergence increases.
- Empirical relation is stronger (i) during COVID-19 and (ii) when investor attention is higher.

Well-written, very readable, One Idea One Paper, highly recommended!

Major Point 1

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- The analysis relied on the relative difference.

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- The analysis relied on the relative difference.

Advice: Consider replicating the analysis with absolute divergence as your primary measure. It will square nicely with the front half of the paper.

Advice: Consider using a dummy variable as well to note the sign of the relative difference.

Major Point 2

Positive Divergence $\neq$ Sentiment when both Twitter and News are Positive

- Table 3 and the text on page 15 say both things, so it is difficult to know what exactly is being tested in Column (4).

	Log (Bid-Ask Spread)				Log (Turnover)
		Tweet & News Pos. Sent.	Tweet & News Neg. Sent.		
	(1)	(2)	(3)	(4)	(5)
Divergent Sentiment ($t-1$)		-0.0023	-0.0060	0.0439***	0.0171***
Divergent Sentiment ($t-2$)		-0.0217***	-0.0246***	-0.0154	0.0126***
Divergent Sentiment ($t-3$)		-0.0232***	-0.0322***	-0.0096	0.0063
Divergent Sentiment ($t-4$)		-0.0207***	-0.0408***	0.0061	0.0168***
Divergent Sentiment ($t-5$)		-0.0275***	-0.0482***	-0.0177*	0.0047
Log(Total News Stories Count+1)		-0.0031**	0.0024	-0.0150***	0.0106***
Log(Total Tweets Count+1)		0.0147***	0.0127***	0.0255***	0.0538***
[Five-Day Average Return]	0.0243***	0.019***	0.0202***	0.0222***	0.0871***
Log(Total Analysts+1)	-0.2077***	-0.2071***	-0.1622***	-0.3161***	0.2838***
Log(Daily Share Price Volume)	0.2608***	0.254***	0.2429***	0.2413***	0.2524***
Beta	0.2467***	0.246***	0.2714***	0.206***	0.2218***
Log (Market Cap.)	-0.2920***	-0.3044***	-0.3354***	-0.2378***	-0.2422***
1 / Share Price	0.1280***	0.0981***	0.1408***	0.3635***	-0.7365***
Log (Share Turnover)	-0.1743***	-0.1837***	-0.1987***	-0.1184***	
VIX	0.0137***	0.0141***	0.0141***	0.0134***	0.0007
Economic News Sentiment	0.0563	0.0592	0.0812*	0.0866	0.1392***
Industry	Yes	Yes	Yes	Yes	Yes
Time (Year/Quarter)	Yes	Yes	Yes	Yes	Yes
Observations	174,232	174,232	72,054	23,074	174,232
Adjusted R ²	66.22%	66.36%	61.98%	65.95%	49.42%
AIC	260,007	259,332	103,097	35,278	278,738

Less Major Point 1

Consider Robustness:

- Divergence is likely auto-correlated, consider including the lagged divergence measures one at a time.
- Consider alternative measures.
 - RavenPack Event Sentiment Scores.
 - Other Bid-Ask Spread measures. (Chen and Velikov (2017)).
- Consider a firm fixed effect. I typically expect to see one in this type of work unless the author can convince me I don't need to see it.

Less Major Point 2

Consider additional analyses:

- What else is sentiment divergence related to?
- What leads to sentiment divergence?
- Is divergent sentiment related to retail trading?
- Is divergent sentiment related to volatility? Returns?

Recap in one slide.

Very nice paper. Follows the One Idea – One Paper model very well. Recommended

Main Suggestions:

- Connect your discussion or *absolute* sentiment divergence with a measure of *absolute* sentiment divergence.
- Consider more robustness and additional analysis to help the reader get their feet into the topic.

Overall a nice paper to read! I look forward to see what's next for this and John's other work!